

there are credit unions for teachers, firefighters, military veterans, and other groups. Credit unions are generally smaller than banks, offer better interest rates, and have great customer service.

	Pros	Cons
Traditional Bank	They're everywhere More services	Higher fees Worse interest rates Less personal
Online Bank	Better interest rates Convenient online experience Lower fees	No branches Hard to deposit cash May not have all the services you need
Credit Union	Lower fees Better interest rates More personal	Fewer locations Eligibility requirements Online services are often not as good

Figure 2.1. Pros and cons of different types of banks

Figure 2.1 demonstrates the pros and cons of using traditional banks, online banks, and credit unions. Remember, the type of bank you choose is not nearly as important as having a bank account. If you do not have one yet, find a bank that is right for you and open up an account that offers low or zero fees.

Beware of Overdraft Protection

Although it has the word *protection* in its name, overdraft protection can actually be harmful to your finances. **Overdraft protection** is a service offered by banks that allows transactions to be